

**UNIVERSITY OF CHICAGO
BOOTH SCHOOL OF BUSINESS**

B30801 Managerial Accounting

Bullwinkle Company: Absorption Costing

This question relates only to the treatment of (indirect) manufacturing overhead costs. Bullwinkle Company incurs fixed manufacturing overhead costs of \$100,000 per year. Its estimated practical production capacity is 1,000 units per year.

In 2023, Bullwinkle produces and sells 600 units of product; in 2024, it produces and sells 750 units of product. There is no opening inventory.

Required:

1. Under absorption costing required by GAAP, how should Bullwinkle account for manufacturing overhead costs in 2023 and in 2024? Be as specific as possible.
2. Now assume 100 units remain unsold at the end of 2023. How does your answer change? Consider 2023 only.
 - a. Assume the same facts except that management decides to produce 700 units in 2023 rather than 600. Sales for the period remain at 500 units. How does your answer change?
3. How would your answer to 2. change if Bullwinkle management reduced its estimate of practical production capacity to 900 units per year? Consider 2023 only.
4. How would your answer to 1. change if the \$100,000 of overhead is classified as *variable* manufacturing overhead rather than fixed manufacturing overhead?